

This lesson is worth repeating, though...

- Lesson: If the stock closes within 3% [or pick a value] of the target, consider selling.

Southwest Airlines

Southwest Airlines (LUV) made a broadening top going into 2001. Prices in the following notebook entries have not been adjusted for the 3:2 stock split. On 26 January, “I bought at the market on a broadening top, price is at [the] lower trendline, but moving up. The [company is] successfully hedging their fuel costs. I expect oil prices to decline, FED [Federal Reserve] to ease interest rates next week, and economy to slowly rebound.

“I actually think this will be a loser trade, but broadening top chapter in new book [this one] says it is a strong candidate to buy. I expect a partial rise with downside breakout. Upside is formation top at 35, downside is stop-loss at 27.30, call it 27.25, for a 10% decline. If it closes below 28, that is sell signal. Dump immediately. Filled at 30.39.”

I didn't buy exactly at the bottom of the broadening bottom (28.20), so that's something I can improve on.

- Lesson: Try to buy as close to the optimum entry price as possible (the lower trendline in this case).

The stock continued to move higher, but halfway up the chart pattern, it stalled. That's common and wasn't a cause for concern until price started backtracking.

“12 February 2001. I sold at 31.18 because of a partial rise on the broadening top. Since I believe this is going down, there was no sense to wait for it to close below 28 before dumping. I made a small profit, about 2.5%.”

For a swing trade, I got in late and exited late, too, hurting the profit margin. Looking at the chart, the picture looks like a head-and-shoulders top. The partial rise is the right shoulder, and it's at the height of the left shoulder. I should have been prepared for the stock to turn lower there because of the mirror on the left side of the pattern.